

Unilateral Contracts

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Introduction

- A unilateral contract does not mean there is only one party to the contract.
- A unilateral contract arises where an offer can be accepted only by performance. A promise to perform is not enough; accordingly, in a unilateral contract, there is no formal acceptance prior to performance.
- Bilateral contract (constituted by the exchange of promises). Unilateral contract (constituted by a promise given in exchange for an act)

Williams v. Carwardine, 324-325

- How was the offer in this case communicated to the plaintiff?
- “It was contended that as the plaintiff was not induced by the reward promised by the defendant, ... the law would not imply a contract by the defendant”. Must an offeree be aware of the existence of an offer, **or** must he be induced to act based on the offer?
- “Instances easily suggest themselves where precisely the same act done with reference to an offer would be performance of the condition, but done with reference to a totally distinct object would not be such a performance. An offer of £100 to any person who should swim a hundred yards in the harbour on the first day of the year, would be met by voluntarily performing the feat with reference to the offer, but would not in my opinion be satisfied by a person who was accidentally or maliciously thrown overboard on that date and swam the distance simply to save his life, without any thought of the offer. The offeror might or might not feel morally impelled to give the sum in such a case, but would be under no contractual obligation to do so.” *R v Clarke* (1927). Explain why you agree or disagree with this observation.

The Crown v. Clarke, 325-326

- What were the facts of this case, and what was the main issue?
- Why does the law treat intention to accept as significant but the motive behind acceptance as immaterial?
- What are your thoughts on the view that a person cannot accept an offer before they are aware of its existence?
- How do you reconcile this decision with that in *Williams v. Carwardine*?
- As a matter of policy, is this the right approach for the law to adopt in such cases where the police want information from the public? See *Stephens v. City of Memphis*, 565 S.W.2d 213, 218 (Tenn. Ct. App. 1978) by Judge Nearn.

Dawson v. Helicopter Exploration Co., 336-338

- What were the facts of this case? What issue(s) was the court invited to resolve and how did it resolve it?
- To the respondent in this case, their offer could only be accepted by the requested performance of an act. What was the legal rationale for arguing that way, and what would have been the consequences had the court accepted that argument?
- “This interpretation of the correspondence follows the tendency of courts to treat offers as calling for bilateral rather than unilateral action when the language can be fairly so construed, in order that the transaction shall have such “business efficacy as both parties must have intended that at all events it should have””. How do you understand this? Why is this judicial tendency important?
- Would the Supreme Court have found a bilateral contract if the company had sued Dawson for non-performance?

Revocation of a unilateral offer

- An offer of a unilateral contract can be accepted by full performance of the required act or forbearance only.
- A unilateral offer made to the whole world can be revoked by the same means of communication that was used to make the offer. *Shuey v. United States*, 92 U.S. 73 (1875)
- Such revocation is effective even against an offeree who did not see the second (revoking) communication.
- Revocation is not permissible once the offeree embarks on performance.

“The offer of a reward for the apprehension of Surratt was revoked on the twenty-fourth day of November, 1865, and notice of the revocation was published. It is not to be doubted that the offer was revocable at any time before it was accepted and before anything had been done in reliance upon it. There was no contract until its terms were complied with. Like any other offer of a contract, it might therefore be withdrawn before rights had accrued under it, and it was withdrawn through the same channel in which it was made. The same notoriety was given to the revocation that was given to the offer, and the findings of fact do not show that any information was given by the claimant or that he did anything to entitle him to the reward offered until five months after the offer had been withdrawn. True, it is found that then and at all times until the arrest was actually made he was ignorant of the withdrawal, but that is an immaterial fact. The offer of the reward not having been made to him directly, but by means of a published proclamation, he should have known that it could be revoked in the manner in which it was made”. [*Shuey v. United States*, 92 U.S. 73 \(1875\)](#)

“Whilst I think the true view of a unilateral contract must in general be that the offeror is entitled to require full performance of the condition which he has imposed and short of that he is not bound, that must be subject to one important qualification, which stems from the fact that there must be an implied obligation on the part of the offeror not to prevent the condition becoming satisfied, which obligation it seems to me must arise as soon as the offeree starts to perform. Until then, the offeror can revoke the whole thing, but once the offeree has embarked on performance, it is too late for the offeror to revoke his offer.” *Daulia Ltd v Four Millbank Nominees Ltd*. [1978] 2 All E.R. 557 at 561

Errington v. Errington, 335-336

- A unilateral offer cannot be revoked once the offeree entered on performance of the act requested; but it would cease to bind the offeror if the offeree left the requested act incomplete or underperformed. When is a unilateral contract made, i.e., when is such a contract accepted? Is it at the time when the performance of the requested act is completed or when the performance begins? At what point in time can one revoke a unilateral offer?
- In unilateral contract cases, “once the promisee acts on the promise by inhaling the smoke ball, by starting the walk to York or (as here) by not suing for the maintenance to which she was entitled, the promisor cannot revoke or withdraw his offer. But there is no obligation on the promisee to continue to inhale, to walk the whole way to York or to refrain from suing. It is just that if she inhales no more, gives up the walk to York or does sue for her maintenance, she is not entitled to claim the promised sum”. Per Longmore LJ in *Soulsbury v Soulsbury* [2008] 2 WLR 834 at [49]. Is this principle unfair to the promisor? Could it be unjust or lead to injustice?
- Why didn't the death of the father, the offeror, revoke his offer?

Exercise 1

On September 1, Dana posted flyers throughout town offering a \$5,000 reward for the return of her lost dog, Max. The flyer stated: “Reward: \$5,000 for the safe return of my lost dog Max. He was last seen near Pinewood Trail. First-come, first-served. No need to contact me – just return my Max and claim the Reward”.

On September 2, Leo, a professional dog tracker, saw one of the flyers. Interested in the reward, he decided to search for Max. He spent several hours that afternoon preparing for the search. He gathered specialized tracking equipment, reviewed recent online reports of dog sightings, contacted two people who had reported seeing a similar dog, and drove approximately 90 minutes to Pinewood Trail. By the time he arrived, it was getting dark and Leo was tired. He decided not to begin the search immediately and instead checked into a motel near the trail. Before going to sleep, Leo told the motel owner that he intended to spend the following day searching for Max.

The following morning, before beginning his search, Leo heard a radio report stating that Dana had reduced the reward for Max’s return from \$5,000 to \$2,500. The report explained that Dana had become concerned about the number of people searching for the dog and had posted new flyers reflecting the reduced amount. Leo had not seen the new flyers. Leo nevertheless proceeded to search for Max. After several hours, he located the dog and safely returned it to Dana. Is Leo is entitled to \$5,000 or \$2,500.

Exercise 2

Harris, a wealthy retired businessman, owned a prize-winning racehorse named Seabiscuit. In July 2026, Seabiscuit escaped from a paddock on Harris's property during forest fires in the area and could not be located. The following day, Harris posted notices throughout the surrounding town stating: "Reward: \$50,000 to anyone who finds and returns my lost show horse, Seabiscuit. Payment upon safe return. J. Harris".

Harris left town the next day to travel to The Bahamas. Carlson, a local horse trainer, saw one of the notices shortly after it was posted. Believing that his knowledge of horses and the surrounding area gave him a good chance of finding Seabiscuit, Carlson began an extensive search. Over the following week, he travelled through several rural properties, contacted other horse owners, examined tracks and photographs supplied by residents, and spent considerable amounts of his own money on transportation and equipment.

Unknown to Carlson, Harris died three days after he arrived in The Bahamas in an accident while scuba diving. Harris's death was reported on social media. Carlson did not see the reports and continued his search.

Two days after Harris' death, Carlson located Seabiscuit on a remote property approximately 60 kilometres from Harris's ranch. He transported the horse to the ranch and returned it safely. Only then was Carlson informed that Harris had died. Harris's estate refused to pay the \$50,000. It argues that Harris's death terminated or revoked the offer before Carlson completed the required performance and that, in any event, did not communicate his acceptance of the offer to Harris. Is Carlson entitled to the \$50,000?

Communication of acceptance

- In general, communication of acceptance is waived in the context of unilateral contract. There is no need to give advance notice of acceptance to the offeror (but this depends on the circumstances)
- Where **A** makes an offer to **B** and, expressly or impliedly, intimates a particular mode of acceptance as sufficient to make the bargain binding, it is only necessary for A to follow the indicated method of acceptance. If **A** expressly or impliedly intimates in his offer that it will be sufficient to act on the proposal without communicating acceptance of it to himself, performance of the condition is a sufficient acceptance without notification.
Carlill v. Carbolic Smoke Ball Company, per Bowen LJ
- Circumstances may demand communication in a unilateral contract case.

Carlill v. Carbolic Smoke Ball Co., 327-329

- What were the facts of this case?
- What were the legal issues identified in the case, and how did the court resolve them?
- In this case, the court decided that the advertisement amounted to an offer to the world which could be accepted by anyone who performed the conditions set out in it. It also held that the plaintiff did not have to notify the advertiser [offeror] of her intention to accept the offer prior to her performance of the conditions. Are there circumstances in which the offeree must or should notify the offeror of their performance?
- This case is an example of a unilateral contract. Generally, an offer can be revoked at any time before it is accepted. Why should courts be more cautious in applying this principle to unilateral contracts?

Exercise 3

Suraiya owns a summer cottage at 44 Osoyoos Crescent in Kelowna, BC. She lives in Toronto for most of the year and visits the cottage only occasionally. Because the property is exposed to severe winter conditions, Suraiya is concerned about frozen pipes, roof damage, and other problems that can arise when the cottage is unoccupied. In January 2026, she called Adam, a local contractor whom she had used once before. She reached his voicemail and left the following message:

“Hello, Adam, this is Suraiya. It is about 44 Osoyoos Crescent. There were a few minor issues I noted during my last visit in July, including a leak above the kitchen window and a malfunctioning air conditioner. Please proceed to the property and attend to it. I am happy to pay you \$1,000 for your service”.

Suraiya then left the access code for the property’s front door. She did not specify how the \$1,000 would be divided between the two repairs or give Adam a deadline for completing the work. Adam listened to the message the following day and went to the cottage. He sealed the leaking section of the roof, replaced water-damaged plaster, and installed a new thermostat in the air conditioner. He also checked the property, adjusted the heating to what he considered a safe level, and locked the cottage before leaving. Adam did not contact Suraiya before or after completing the work and did not send her an invoice.

Suraiya did not know that Adam had completed the repairs. Unable to reach him as winter conditions worsened, she hired another contractor, who inspected the cottage and charged her \$800. Suraiya paid the invoice. Discuss whether Adam has a contract with Suraiya that obliges Suraiya to pay him \$1,000.

Exercise 4

Zenith Appliances Ltd. manufactures home electronics. In January 2026, it launched a nationwide marketing campaign for its new line of “UltraCool Air Conditioners.” As part of the campaign, it published the following statement in national newspapers, on its website, and in brochures distributed through retail stores: “If your UltraCool Air Conditioner fails within 2 years of purchase and use due to a manufacturing defect, we will pay you \$500 — no questions asked”.

The advertisements stated that customers seeking payment had to notify Zenith of the failure and provide proof of purchase and use, together with a photograph of the defective unit. In February 2026, Patel purchased an UltraCool unit from Home Depot for \$1,200. His sales receipt identified Home Depot, rather than Zenith, as the seller. Patel did not purchase an extended warranty or insurance.

In August 2026, the air conditioner stopped functioning. An independent technician determined that the compressor had failed because of a manufacturing defect. Patel contacted Zenith, provided his receipt, photographs, and the technician’s report, and requested the \$500 payment. Zenith has refused. It states that the statement was intended only to promote sales and was not a contractual promise, and, in any event, that Patel had never communicated directly with it before the failure and had no written agreement with it. Discuss whether Patel has a binding contract with Zenith Appliances Ltd.